Calderwood Partners LLC

www.calderwoodpartners.com

June 22, 2017

Sandra Frazier

VP Finance

Brown and Sons

Re: Engagement to rationalize your operating footprint

Dear Ms. Frazier:

This letter confirms that we will work with Brown and Sons on the shape of its operating footprint, and it records the terms of that work: what we will do, who will do it, what it costs, and the obligations each side takes on. I have kept the language plain. If a term here does not match what we discussed, telephone me before you sign and we will correct it.

What We Will Do

The question is a practical one. You operate a set of plants, distribution points, and offices that grew up with the business, and you want to know whether that set is still the right one: the right number of sites, in the right places, at the right size for the volume you run today. Our work builds toward a recommended footprint and a route to it, and it proceeds along four lines.

- A baseline of the footprint as it stands: every site, what it costs to operate, the capacity it holds, and how much of that capacity is actually used.
- A map of how product and service flow across those sites, so that the cost to serve each customer is measured from your own data rather than assumed.
- A set of modeled alternatives: which sites anchor the network, where two locations do the work of one, and what a consolidated or relocated footprint would cost and return.
- A recommended target footprint and a sequence for reaching it, ordered so that the surest and least disruptive moves come first.

I should also mark the boundaries of the work, so that nothing you expect is left unspoken. We are not your real estate broker and will not negotiate leases or sales. We do not give legal or tax advice; where a question turns on either, we flag it and point you to your counsel. We plan the closures, relocations, and staffing changes a new footprint implies, but we do not carry them out; execution stays with your managers. And we do not select or install systems; where the analysis reaches a software question, we frame it and leave the decision to you.

How We Will Work

We work from your own operating and financial records, not from industry averages, and every figure in a deliverable ties back to a workpaper we can produce on request. We keep findings separate from recommendations, and label each, because the two do not carry the same weight. And we bring you interim results as they firm up, so that nothing in the final material reaches you as a surprise.

The Team

Brenda Clayton, Consultant, leads the operating-model and footprint analysis on which the recommendations rest, and she is your contact on anything of substance in the work. Deborah Gordon, Senior Associate, turns that analysis into the findings and the written material you receive. Cynthia Hart, Research Associate, assembles the underlying site and cost data and keeps the record of what we were given and by whom. I read everything before it leaves this office. On your side, we will treat you, Sandra Frazier, as our point of contact for scheduling, data, and any decision the work requires, unless you name someone else.

Fee and Start

Our fee to Brown and Sons is $34,500, fixed for the scope set out above. We expect to begin on July 2, 2017 and to reach final recommendations about seven months from that date. If you ask us to widen the scope, we price the addition in writing and do not begin it until you have agreed that price. We prefer a fixed fee here so that your people can work with us without watching a clock.

Fees and Payment

We invoice the fixed fee in equal monthly installments over the term, each payable within thirty days of the invoice date. Out-of-pocket costs, chiefly travel to your sites, are billed at cost and itemized on the invoice. We do not mark them up.

Term and Termination

The engagement runs from the start date above until we deliver the final recommendations, unless one of us ends it sooner. Either party may terminate on fifteen days' written notice, for any reason or none. On termination you owe the fee for the work performed to the effective date, prorated against the fixed fee, together with expenses already incurred, and we hand over our work in whatever state it has then reached.

Confidentiality

The operating and cost data behind a footprint decision is among the most sensitive information a company holds, and we treat it accordingly. We will use what you give us only for this engagement, and disclose it outside our firm only as you direct in writing or as the law requires. We ask the same of you regarding our methods, our workpapers, and the fee recorded in this letter.

Limitation of Liability

Our total liability arising out of this engagement, whether framed in contract, in tort, or on any other basis, is limited to the fees actually paid to us under it. Neither party will be liable to the other for indirect or consequential loss, including lost profits, however it arises. This limit does not reach our own fraud or willful misconduct. Our deliverables are prepared for your internal use; if you intend to place one before a third party who may rely on it, raise it with me first so that we can address the reliance in writing.

Governing Law

This letter is governed by the law of the state in which our principal office sits, without regard to its conflict-of-laws rules. Any dispute we cannot resolve between us will go to mediation before either party turns to the courts.

If these terms are acceptable, please sign both copies of this letter and return one to me; the second is yours to keep. We are glad to take on this work for Brown and Sons, and Brenda Clayton will be ready to start on the date set out above.

Sincerely,

Julie Ramsey
Managing Principal
Date: June 22, 2017

Sandra Frazier
VP Finance, Brown and Sons
Date: June 22, 2017